

Outlook

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Follow-up: A collections score is not a licence to contact more people

Morning,

I need help with something that sounds simple but probably is not.

Collections wants a prioritisation model, but validation must separate default risk from the effect of different contact strategies. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

The questions I would ask in the room are:

1. What would we expect to see if high-risk customers need tailored arrangements rather than more attempts?
2. What evidence would instead support that some customers self-cure without intervention?
3. How do we rule out that contact channel changes promise-kept rates?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use November 2023 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether a model can support treatment allocation and what experiment is needed next. A useful output would be a one-page finding note plus the underlying CSV for our own review.

Use collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields. One caution: Observational data cannot prove treatment causality; recommend a controlled test where appropriate.

Regards